From News to Financial Stress: A High-Frequency Canadian Index

INTRODUCTION

Canada's traditional financial stress measures rely mainly on market and institutional data and may not fully reflect rapidly changing financial narratives. This project develops a high-frequency Financial Stress Index (FSI) from posts published by major Canadian news outlets on X. Financial sentiment is extracted using multiple sentiment models and aggregated into a daily index. The FSI complements established financial stress and uncertainty measures by providing a timely indicator of stress expressed in Canadian news narratives.

OBJECTIVE

1 Construct a novel Financial Stress Index (FSI) for Canada.

To construct a novel Financial Stress Index (FSI) for Canada using sentiment information from national news posts.

2 Empirically validate the proposed index.

To empirically validate the proposed index against established benchmarks (EPU, CFSI, and VIX).

DATA

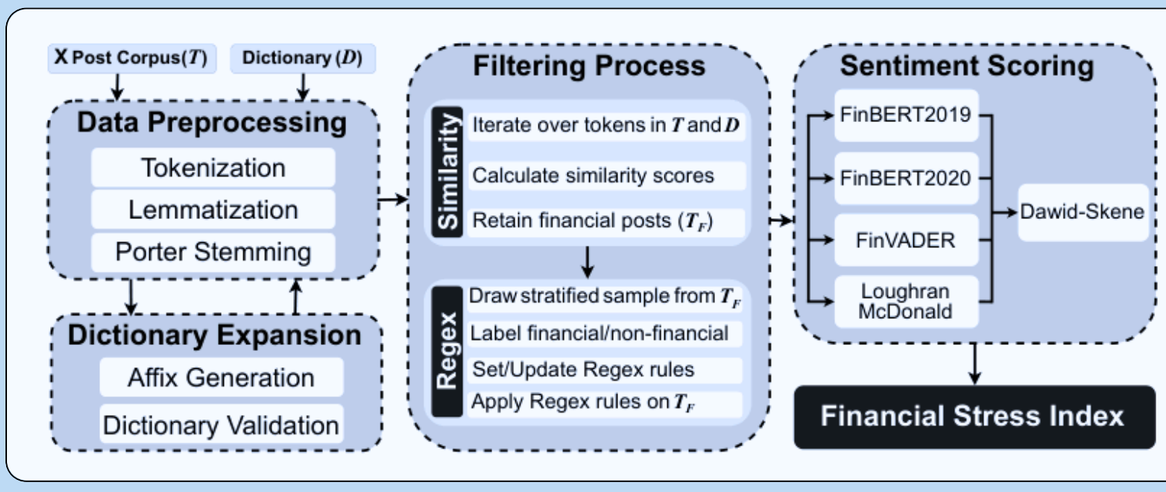
1 Corpus Overview

- 649,804 X posts collected from five major Canadian national news outlets.
- Study period: January 2017 to December 2024.
- Data collected using Apify workflows and web scraping, with duplicate posts removed.

2 Source Distribution



METHODS



RESULTS

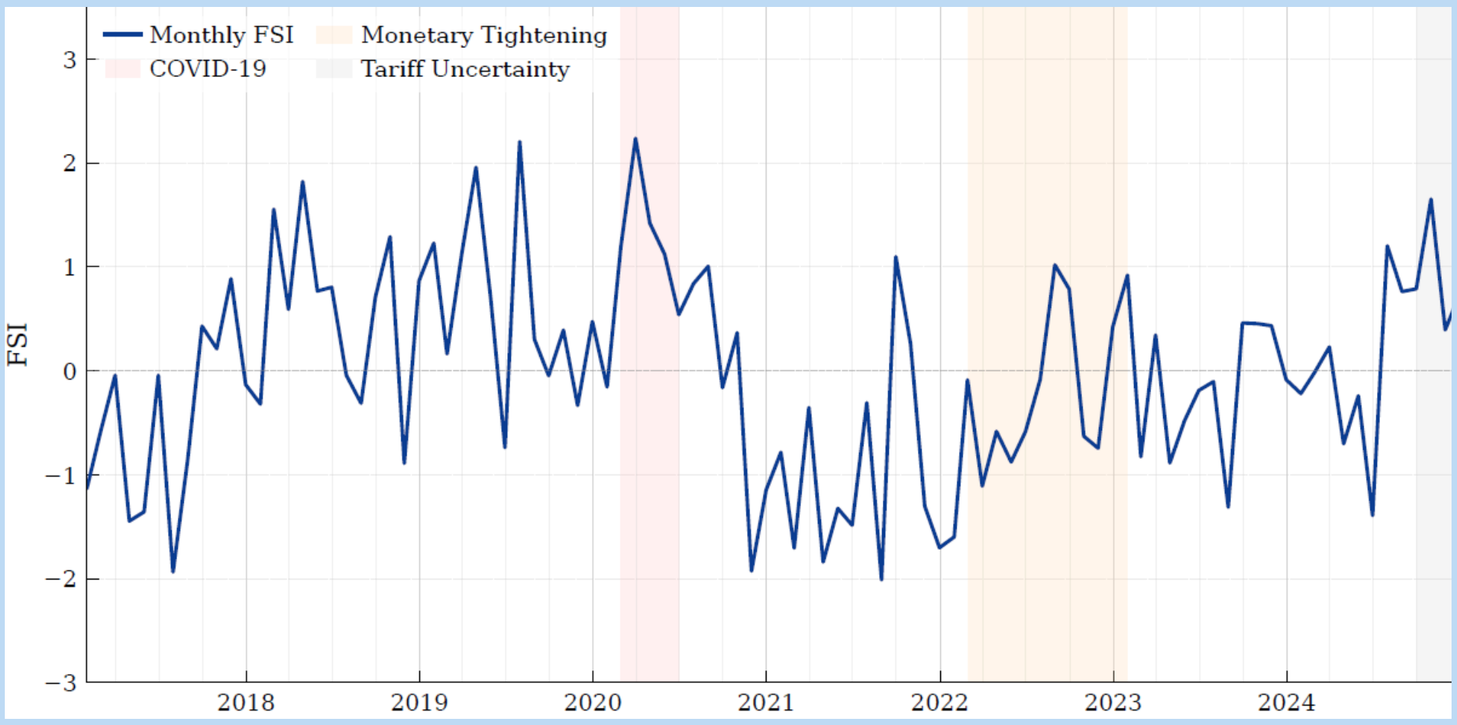
1 FSI aligns with established financial stress measures

2 FSI provides early warning signals

3 Relationships strengthen during high-stress periods

4 FSI captures major financial events in Canada

CANADIAN FINANCIAL STRESS INDEX



PROJECT PROGRESS & NEXT STEPS

- Presented at CEA 2026
- Manuscript in preparation for publication
- Further validation and data expansion
- Planned integration into Data North

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